

Before the Federal Maritime Commission, Washington, DC.

Docket No. 25-08

FormuKleen, Inc.

(Complainant)

vs.

Top Shipping Systems, Corp.

(Respondent)

COMPLAINANT’S REPLY IN SUPPORT OF MOTION FOR SUMMARY

JUDGMENT

Complainant FormuKleen, Inc. (“FormuKleen”) respectfully submits this reply in further support of its Motion for Summary Judgment filed July 16, 2025 and in Response to Respondent’s filings in regard to the matter. Respondent Top Shipping Systems Corp. (“TSS”) has failed to raise a genuine dispute of material fact, and its Response briefly merely confirm, through its own admissions, each of the violations alleged in the Complaint. Accordingly, summary judgment should be granted on all counts.

**1. RESPONDENT ADMITS TO WITHHOLDING CARGO TO COMPEL
PAYMENT OF UNRELATED DEBTS**

TSS concedes throughout its Verified Answer, its Responses (“Response” or “Responses”) to the Motion for Summary Judgment (“MSJ”), and the exhibits it submitted that it intentionally withheld Complainant’s cargo unless and until Complainant paid amounts allegedly owed on other, unrelated

shipments. The internal April 16, 2025 email attached as RX-App0003 in the Verified Answer (“Answer”) confirms the same: “Goods have been placed into your inventory and will be released once your account has been brought up to date.” (Answer *6 Exhibit RX-App0003)

This practice is not in dispute. TSS repeatedly states that it applied account-wide balance thresholds to determine whether to release containers. TSS further states this was standard policy and cites its own warehouse terms in defense. These are not denials, they are admissions.

The Federal Maritime Commission has held, in *Way Interglobal Network, LLC v. Shenzhen Unifelix SCM Ltd.*, FMC Docket No. 22-28, Initial Decision (Apr. 19, 2024), *Petra Pet, Inc. v. Panda Logistics Ltd.*, FMC Docket No. 11-14, Initial Decision (Aug. 14, 2012), *Bernard & Weldcraft Welding Equip. v. Supertrans Int’l*, Docket No. 02-12, 2003 WL 136313, at *14 n.14 (ALJ Jan. 8, 2003) that withholding cargo to compel unrelated payments is an unreasonable and coercive practice in violation of 46 U.S.C. § 41104(a)(4)(E) and § 41102(c). The Commission has rejected arguments based on private lien claims or contractual defenses. Respondent’s admitted conduct violates the Shipping Act as a matter of law.

2. RESPONDENT ATTEMPTS TO USE ITS OWN UNLAWFUL TERMS AS A SHIELD, THEREBY ADMITTING LIABILITY

In its Response to the MSJ, TSS relies on Paragraph 8 of its own Warehouse Receipt, which states that TSS reserves a general lien on “any and all property belonging to the Customer... for all charges... under any prior or subsequent invoices.” (Exhibit D, Response ¶8 *23); see also Respondent’s Statement of Facts, p. 1 (“8. LIEN RIGHTS,” quoting cross-account lien and sale remedy). Far from providing a defense, this clause is ***a written admission of illegal conduct***. It proves

that Respondent has instituted a policy of cross-collateralization, using present shipments as leverage to extract payment for unrelated debts, a practice expressly condemned by the Commission.

Similarly, in its standard Terms and Conditions, Paragraph 14 claims a lien on all customer property and threatens private auction if payment is not made within 30 days. (Response, Exhibit E, ¶14 *24) This clause also explicitly authorizes withholding cargo over unrelated charges, without judicial oversight.

The introduction of these clauses into the record constitutes a binding admission that Respondent's conduct was not accidental or isolated, it was policy. That policy is unlawful under the Shipping Act, and the Commission has consistently rejected the notion that private contract language can override public obligations. See *Way Interglobal*, FMC 2024. Additionally, by admitting that they have codified their violations of the Shipping Act, they also, by providing these terms, have admitted that this conduct occurs on a normal, customary, and continuous basis; thus strengthening Complainant's 41102(c) counts.

3. NO LIEN WAS EVER FORMALLY EXERCISED AND RESPONDENT'S OWN DOCUMENTS ADMIT A POLICY OF HOLDING CONTAINERS HOSTAGE FOR UNRELATED DEBTS

Respondent waves at "lien rights," but never shows an actual lien. There is no statutory notice, no identification of collateral, no itemization of the debt allegedly secured, no opportunity to post a bond, and no initiation of any foreclosure process. The only "notice" in this record is an April 16 email saying the goods "will be released once your account has been brought up to date" (Answer *6 Exhibit RX-App0003) (Respondent's Response to Complainant's Statement of Material Facts, p. 7 (admitting: "...will be released once your account has been brought up to date.")). That is not a lien notice under any

statute or contract. Complainant's Statement of Material Facts identifies this, and Respondent offers no evidence that any formal lien enforcement ever began. Instead, Respondent attaches boilerplate terms and a warehouse receipt that, on their face, purport to create a general lien and a sale remedy for "any and all" obligations. But Respondent's conduct did not follow those documents. Their own terms require written notice and a 30-day bond option before any sale. Respondent now asserts there was no auction and no process under Florida Statute, as if that insulates its behavior. It does the opposite. If there was no statutory process and no contract process, then nothing resembling lien enforcement occurred. What happened was private detention of import cargo to coerce payment of unrelated balances while layering on storage and handling charges. The Shipping Act does not convert that self-help into a lawful practice, and Commission precedent rejects private lien language as a defense to unreasonable withholding for unrelated debts. Even assuming arguendo that some state-law lien could have been available, Respondent did not comply with its own prerequisites or any statutory procedure. On this record, "lien" is rhetoric, not fact. What is proved is admitted and documented detention for leverage, which is coercive and unreasonable as a matter of law. Summary decision is warranted.

4. RESPONDENT ADMITS DIVERSION OCCURRED WITHOUT AUTHORIZATION AND USED IT TO MANUFACTURE LEVERAGE

Respondent never identifies any instruction, consent, or contractual term authorizing it to reroute either container to its yard or warehouse without Consignee authorization. The record shows the opposite. Respondent's own email states the move was made "as per my accounting department I was given instructions to bring this container to TSS Whse," (Answer *6 Exhibit RX-App0003) and further that "goods have been placed into your inventory and will be released once your account has been brought up to date" (RX-App0003; cited in Complainant's Statement of Material Facts ¶¶ 10, 17, 19). Respondent also admits it "paid port storage fees and transferred the container to its warehouse,"

and that the other container was “pulled and held at our trucking partner’s yard until February 25,” with release withheld based on account balances (Verified Answer passages cited in Complainant’s Statement of Material Facts ¶¶ 5–6, 16). Respondent points to no contemporaneous authorization from FormuKleen for either diversion. It does not claim a through bill of lading placing the goods under its warehouse control, it does not identify a written release instruction from the consignee, and it does not cite any tariff or governing document that permitted it to interpose its facility as the destination. The only rationale offered is internal accounting. That conduct is not a neutral logistics choice. By unilaterally diverting the freight into its own custody, Respondent cut off the consignee’s access at the pier, created storage and handling charges on terms it controlled, and then conditioned release on payment of unrelated account balances. The diversion therefore served the leverage it openly sought and is the functional predicate of the unreasonable practice. Under 46 U.S.C. § 41102(c), the Commission evaluates whether practices in connection with handling, storage, or delivery are just and reasonable. Seizing physical control at destination without shipper consent for the stated purpose of collecting other debts is not just and reasonable. It is the kind of interference the Commission’s decisions condemn, and it also fits the statutory prohibition on unreasonable refusal to deal under § 41104(a)(10), because Respondent refused to complete delivery unless extraneous demands were satisfied. On this record, there is no factual dispute to try. Respondent admits the diversion, admits the lack of shipper authorization, and admits the conditioning of release. The legal consequence follows and summary judgment is warranted.

5. RESPONDENT’S ARGUMENTS ABOUT FORMATTING AND SERVICE ARE FRIVOLOUS AND LEGALLY IRRELEVANT

Respondent devotes multiple paragraphs of its Response to complaining about formatting, numbering, and word-processing formats of Complainant’s submissions. These arguments are not only unsupported; they are legally immaterial.

The relevant regulation, 46 C.F.R. § 502.70(a), requires that the Statement of Material Facts be “in a separate document” with individually numbered paragraphs and record citations. Complainant complied fully. The document was filed in a searchable and editable PDF, which is universally used in Commission practice. Nowhere in the rule for Summary Judgment does it require Microsoft Word or a particular file extension. Even if a judge were to prefer a different format, the remedy would be a brief order requesting resubmission, not denial of a motion. Respondent offers no authority to the contrary. Additionally, the Office of the Secretary accepted the filing.

These arguments are a distraction. Notably, Respondent does not deny the factual content of the Statement of Facts; it merely attacks how it was filed. This is not a factual dispute under Rule 502.70, it is a formatting grievance. It should be disregarded in full.

Respondent’s counsel has himself typically filed only PDFs. In this matter he submitted three briefs with three PDFs and only two Word versions. Complainant does not object. Several of Respondent’s PDFs are image scans rather than text-searchable documents and therefore are not in a word-processing format for purposes of the Initial Order. However, any formatting issue is administrative and, if it matters, is for the Office of the Secretary to address. If Respondent wishes to litigate formatting, it should first ensure its own compliance.

Additionally, Respondent's refrain that "discovery hasn't occurred" is not a reason to deny summary decision. Summary decision turns on whether any material facts are genuinely disputed on the present record; it does not wait for discovery as a matter of course. Where, as here, the operative facts are admitted in Respondent's own Answer, exhibits, and sworn submissions, additional discovery is unnecessary. To postpone decision, the non-movant must identify specific facts it expects to obtain, explain how those facts would create a genuine dispute, and show why it cannot present them now.

Respondent offers none of that and doesn't name a single witness, document, or topic, and doesn't articulate how any hypothetical discovery would controvert its own admissions that it received, held, diverted, and conditioned release of the containers on bringing the "account" up to date. Discovery cannot erase those admissions, and it cannot convert conclusory denials into triable issues. If the Commission believes any discrete factual issue remains for development, it may enter partial summary decision on liability based on the admitted conduct and reserve only the amount of reparations. But Respondent's bare appeal to "do discovery first" is a plea for a fishing license, not a basis to withhold judgment on an undisputed record.

6. RESPONDENT'S ATTACK ON COMPLAINANT'S AUTHORITIES FAILS ON BOTH LAW AND FACT

Respondent does not meaningfully engage with the legal principles in the Commission decisions Complainant cited. It labels those decisions "inapplicable," but never shows why the rules they state do not fit these facts. The core principle in *Petra Pet*, *Way Interglobal*, *Adenariwo*, and similar Commission rulings is straightforward: using possession of cargo to compel payment of unrelated amounts is an unreasonable and coercive practice in violation of the Shipping Act. That principle does not depend on who issued the house bill of lading. It turns on what the respondent did with the shipper's cargo and whether the practice was just and reasonable in connection with handling,

storage, and delivery of property moving in ocean commerce. On this record, Respondent admits it diverted the containers to its own control and refused release until Complainant paid account-wide balances that were unrelated to the particular shipments. Its own email states the goods “will be released once your account has been brought up to date.” (Answer *6 RX-App0003) Respondent’s submissions do not deny that language or the conduct it describes. They try to excuse it.

Respondent’s arguments are a vigorous but ultimately futile exercise in selective quotation and misapplication of legal precedent. Their use of *A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc.* and *In re World Imports Ltd.* is not only flawed but, upon closer examination, actually strengthens Complainant’s position.

Notable is the misapplication of *A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc.* (*A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc. and Cargocare Logistics America, Inc.*, FMC Docket No. 1987(I) (FMC Apr. 4, 2024)). The Respondent's reliance on *A Customs Brokerage* is a profound and self-defeating misapplication of the case. They have cherry-picked language from the Commission's ruling while ignoring the critical distinction that makes the case completely inapplicable to their own conduct. The Commission in that case found no jurisdiction because Cargocare was a **delivery agent**, not an NVOCC performing OTI activities. They were acting on behalf of a separate, identified NVOCC (CC India) to collect lawful freight charges. Respondent, by contrast, is a licensed OTI admittedly performing core NVOCC activities such as paying port storage fees and coordinating inland drayage. Respondent’s conduct is not that of a passive delivery agent, but of an active intermediary in its own right. The precedent in *A Customs Brokerage* therefore does not support the Respondent's position; it provides the very definition of what the Respondent is **not**. The Respondent's quotation regarding the "reasonableness" of the actions is a legal red herring. The Commission found the actions to be reasonable **for a delivery agent** collecting lawful charges on behalf of another party. It

did not hold that an OTI could unilaterally divert cargo and hold it for unrelated debts. The Respondent's conduct is fundamentally different in kind, as they were holding cargo for unrelated account balances to compel payment; a practice the Commission has consistently found to be unjust and unreasonable.

The Respondent's argument that its activities are "domestic in nature" and therefore outside FMC jurisdiction is directly contradicted by the Shipping Act. The Act explicitly covers the domestic portion of an international shipment. The very activities the Respondent admits to; coordinating drayage from the port and paying port fees, are considered part of the continuous movement of an international shipment. To claim these activities are purely "domestic" and unrelated to ocean transport is a legal fiction. The Shipping Act's definition of NVOCC services includes the coordination of shipments "between origin or destination and vessel," which is precisely what the Respondent's own admissions describe. Respondent never explains how a self-described broker or warehouseman could instruct a trucker to pull import containers off the port, reroute them to its own yard, and withhold release until the "account" was current. That authority presupposes custody and transportation control over ocean cargo at destination, which is the very conduct the Shipping Act assigns to regulated intermediaries, not passive filers or mere storers of goods.

Additionally, The Respondent's reliance on *In re World Imports Ltd.*, 820 F.3d 576 (3d Cir. 2016) to justify its general lien on cargo is a legally flawed argument. While that case held that a NVOCC may, by contract, assert a general lien, it did not do so in the context of a violation of the Shipping Act. The central issue here is not the existence of a lien, but the unjust and unreasonable practice of holding cargo to compel payment of unrelated debts. A party cannot use a contractual provision, even one recognized under state law or general maritime law, to shield itself from a violation of a federal statute. The Shipping Act's prohibition on unjust and unreasonable practices preempts any

state or contractual lien right used for this purpose. The Respondent's own filings reveal that they held the cargo for "unpaid balances owed to TSS" and "charges... for other shipments," which is precisely the kind of coercive practice the Shipping Act forbids.

Respondent also cites *Landstar (Landstar Express America Inc. v. FMC*, 569 F.3d 493 (D.C. Cir. 2009) for the proposition that jurisdiction under the Shipping Act is functional. That standard does not help them. Functionally, Respondent accepted telex release information, assumed custody after ocean arrival, coordinated inland movement, billed the shipper in its own name for delivery, chassis, pre-pull, terminal and handling items, government clearances, and then used possession to compel payment of other debts. The invoices in the record show inland delivery, chassis, pre-pull, terminal import and port security charges, customs entry and ISF processing, and warehouse handling, all billed by Respondent to Complainant. Those activities line up with regulated OTI functions, and the jurisdictional inquiry turns on that conduct, not on Respondent's chosen label in its brief.

Most telling, Respondent never grapples with the narrow legal question that controls summary judgment here. The question is whether conditioning release of one shipment on payment of unrelated amounts is a just and reasonable practice under the Shipping Act. The authorities Complainant cited answer that question no. Respondent supplies no Commission decision holding otherwise. Its opposition asks the Commission to treat a private warehouse lien form as a license to do the very thing those cases prohibit. The Shipping Act does not allow private documents to erase public duties. On this record, the authorities Complainant cited stand un rebutted and apply directly to the conduct Respondent admits.

Respondent reiterates that container CHSU4047424 was "pulled and held at our trucking partner's yard until February 25, when it was finally delivered to FormuKleen's warehouse after delays caused by unpaid balances owed to TSS." (Response ¶2 *5) This timeline proves both the persistence

of the conduct and its willfulness, supporting not only liability but the imposition of civil penalties under 46 U.S.C. § 41305(c).

Very notably, Respondent's entire opposition is, in effect, a "do-over" of its Verified Answer, where it attempts to re-litigate the facts and introduce new legal arguments that should have been presented at the proper time. The Respondent is attempting to circumvent the procedural posture of this case, using an opposition to a motion for summary judgment as a vehicle to amend its initial pleading. This is procedurally improper. The purpose of a response to a motion for summary judgment is to demonstrate a genuine dispute of material fact, not to introduce new, and ultimately unpersuasive, legal theories that should have formed the basis of its defense from the outset.

**7. RESPONDENT'S LICENSURE AND ADMITTED CONDUCT PLACE IT
WITHIN THE SHIPPING ACT'S REGULATION OF RECEIVING, HANDLING,
STORAGE, AND DELIVERY OF OCEAN CARGO**

Respondent attempts to downplay its status, but it admits it performed customs brokerage, warehousing, inland transportation, and other financial functions. This places TSS squarely within the purview of the Commission and subject to the Shipping Act's requirements. See 46 C.F.R. § 515.2 (k) (defining NVOCC services).

The Respondent's entire substantive opposition rests on the premise that by performing "inland services" such as drayage and warehousing, it somehow escapes the purview of the Shipping Act. This position is a fundamental misinterpretation of the law and a blatant attempt to divorce its actions from the context of its role as an Ocean Transportation Intermediary; while again failing to address the facts of the MSJ.

As the Shipping Act itself makes clear, the provision of transportation by an NVOCC "may include, but are not limited to, the following:"

- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (5) Assisting with clearing shipments in accordance with U.S. government regulations;
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.
- (2) Payment of port-to-port or multimodal transportation charges;

Respondent admits in its Verified Answer and its Response to the MSJ to conducting such activities. The very services the Respondent claims exempt it from the Shipping Act are, in fact, explicitly listed as activities that an NVOCC performs. The Respondent's own admissions confirm that it performed all these functions: it coordinated drayage and inland transportation from ports, paid for port storage charges and other fees, and collected freight monies, among other activities. Additionally, Respondent's own invoices include line items detailing OTI functions (See Exhibits A and B).

The Respondent can not have it both ways. It can not perform the core functions of an NVOCC and then claim it is a simple warehouseman to evade the law. This is not a genuine factual or legal dispute, but a transparent and desperate attempt to rewrite the law to suit its own illegal conduct. The Commission must reject this defense. Again, the Respondent's jurisdictional argument to this motion for summary judgment is a procedural gambit that attempts to use this filing as a vehicle to amend its initial pleading. Instead of demonstrating a genuine dispute of material fact regarding its NVOCC activities; the proper function of a response to a motion for summary judgment, the Respondent

introduces a flawed defense: that its activities were purely "inland" and therefore outside the Commission's jurisdiction. The motion for summary judgment is grounded in the **Respondent's own admissions** in its Verified Answer, which confirm that it performed numerous core NVOCC functions. The Respondent's opposition, however, largely ignores these admissions and instead pivots to a legal argument that its conduct was "domestic in nature." This failure to engage with the substance of the motion demonstrates that the Respondent cannot rebut the facts on the record. The Commission should not permit the Respondent to use this procedural vehicle as a means of circumventing its initial pleading, nor should it entertain this meritless argument which serves only to underscore the weakness of its case. The Respondent's desperate attempt to escape its OTI status by changing its legal theory at this late stage is a clear sign that its original defense was untenable.

8. THE AFFIDAVIT OF RICKY VILLENA SOLIDIFIES COMPLAINANT'S CASE FOR SUMMARY JUDGMENT

The Respondent's decision to submit an affidavit from Ricky Villena (Response, Exhibit A *16, *17), the very person who wrote the admission-riddled Verified Answer, is a profound misstep. Instead of creating a genuine dispute of material fact, the affidavit reaffirms the core facts of Complainant's Verified Complaint and MSJ, making the case for summary judgment even more compelling. The affidavit:

- **Confirms Key Admissions:** Paragraphs 14 and 18 of the affidavit are a near-verbatim restatement of the facts Complainant has relied on: "Respondent TSS physically received, handled, stored, and arranged delivery of two ocean cargo containers..." (Response, Exhibit A ¶14 *17) and that one container was "transported directly from the port to Respondent's warehouse." (Response, Exhibit A ¶18 *17) These are the very admissions that form the basis of

Complainant's arguments, and the Respondent's Vice President and former Pro Se administrator of this case for Respondent has now reaffirmed them under oath...again.

- Exposes the "Inland Services" Fallacy: The affidavit attempts to bolster the Respondent's flawed legal defense but fails. Mr. Villena repeatedly claims that TSS was "only acting as a warehouseman, broker and customs broker" (Response, Exhibit A ¶7 *16), and that it "did not issue any bills of lading, arrange carriage, or act as an ocean intermediary" (Response, Exhibit A ¶19 *17). This is a legal argument, not a factual one. The affidavit does not dispute the fact that TSS held the cargo hostage; it merely tries to argue that they did so while wearing a "warehouseman" hat instead of an "NVOCC" hat. This is a distinction without a difference under the Shipping Act.
- Contains Damaging Admissions on Illegal Conduct: Mr. Villena's affidavit provides the case for Summary Judgment **more** ammunition. He states that the "warehouse receipt terms and conditions...grant Top Shipping Systems Corp. the right to hold cargo from past invoices" (Response ¶10 *17). This is a stunning admission that their entire business model is predicated on an illegal practice. They are not arguing that they didn't do it; they are arguing that they had a right to do it under their own terms and conditions, which directly violate the Shipping Act and Commission precedent.
- Confirms the "Unrelated Debt" Motivation: Paragraph 13 admits that "Any alleged delay was consistent was due to the failure of FormuKleen, Inc. to pay its invoices," which confirms Complainant's claim that the cargo was held for payment of unrelated debts. (Response ¶13 *17)

In summary, the affidavit does not create a genuine dispute of material fact. It simply confirms the undisputed facts and exposes the Respondent's flawed legal theory.

9. REBUTTALS TO RESPONDENT’S RESPONSE TO COMPLAINANT’S

STATEMENT OF FACTS

Under the Initial Order, proposed facts “sufficiently supported” are deemed admitted for purposes of the motion unless “specifically disputed by citation demonstrating the existence of a genuine issue.” Denials that lack pinpoint record citations do not create a triable issue. With that standard in view, the responses below identify why each of Respondent’s objections fails and why Complainant’s facts remain admitted. The Initial Order provides:

“A party opposing a motion for summary decision must file a responding statement either admitting or disputing each of the facts in the movant’s statement. This document must set forth verbatim each material fact to which it responds, then admit or deny the fact. All material facts in the movant’s statement that are sufficiently supported will be deemed admitted for purposes of the motion only, unless specifically disputed by citation demonstrating the existence of a genuine issue as to the fact. Each proposed finding of fact that the responding party denies must be followed by an exact citation to evidence that the responding party contends will rebut the evidence the proposing party claims supports the fact. An opposing party may also include in the responding statement additional facts that the party contends are material. Each such fact must be stated in separately numbered paragraphs with a citation to the motion record (page in the appendix) establishing the fact or demonstrating that it is controverted. Each paragraph must be limited as nearly as practicable to a single factual proposition. The party filing a Response to Proposed Material Facts must provide an electronic copy of the Response in a word-processing format to all parties *and to the Office of Administrative Law Judges.*” (Initial Order, ¶2 *19) (See Respondent’s Response to the Motion for Summary Judgment at *2 (citing “Court Order, Docket 6, § 19”).)

Preliminary Statement (Respondent). Respondent labels Complainant's facts "mischaracterizations" and "unsupported," but supplies no pinpoint citations that controvert any specific numbered fact. That is not a compliant response under the Initial Order. A generalized prologue does not meet the requirement to admit or deny each fact with an exact citation. The Commission should disregard the preliminary rhetoric and apply the deeming rule.

Additionally, Complainant's record citations identify the document and the precise location of the material relied upon (e.g., "Verified Answer ¶4 *5," "RX-App0003"). The Initial Order requires exact citations to the record; it does not prescribe a particular symbol or notation. If the Presiding Officer prefers a different style (e.g., "p. 5" instead of "*5"), Complainant will conform immediately upon instruction. Notation has nothing to do with substance: Respondent plainly located the cited passages, quoted them, and argued from them in its opposition. A formatting gripe cannot create a factual dispute or avoid deemed admissions where Respondent offers no contrary evidence tied to the record.

1. Physical receipt, handling, storage, and delayed delivery of CHSU4047424 and BSIU8431017 after ocean arrival.

Respondent's own narrative concedes the fact, detailing that CHSU4047424 was pulled to a trucker's yard and held until February 25 on Respondent's instructions, and that BSIU8431017 was brought to TSS's warehouse and released when further payments were made on the "account." The substance is an admission. The fact is admitted.

2. Management of telex release and diversion to Respondent's yard/warehouse.

Respondent quarrels with the words "managed" and "diverted," but admits it awaited the release and then ordered the container's movement to a non-terminal location. Its own internal email states: "As per my accounting department I was given instructions to bring this container to TSS Whse" (Verified

Answer *6, RX-App0003). Whether styled “coordination” or “management,” and whether labeled “diversion” or “transfer,” the operative conduct is undisputed. The fact is admitted.

3. Withholding delivery to compel payment of unrelated obligations.

Respondent offers no pinpoint citation to rebut RX-App0003 and denies the characterization without record support. The April 16 message is clear: goods were placed into inventory and would be released “once your account has been brought up to date.” That is leverage for account-level balances, not shipment-specific charges. The denial is non-compliant; the fact is deemed admitted.

4. Revocation of credit and refusal to advance duties in connection with the withheld containers.

Respondent admits revocation of credit and that it did not advance duties for BSIU8431017.

Complainant did not state that duties were never advanced on any shipment, only that Respondent refused to advance duties in connection with the withheld cargo. The response confirms the point. The fact is admitted.

5. CHSU4047424 held at trucker’s yard until February 25, 2025, then delivered after payment.

Admitted by Respondent. This is a core admission that the hold continued until payment.

6. BSIU8431017 port storage paid, container transferred to TSS warehouse, retrieval conditioned.

Admitted by Respondent. The admission confirms Respondent’s role in paying port charges and controlling post-arrival custody and release conditions.

7. Withholding of release unless and until outstanding unrelated amounts were satisfied; reliance on UCC.

Respondent concedes it withheld “for prior shipments” and asserts UCC § 677.209(1). Whether state-

law lien rhetoric could ever excuse the conduct is a legal question, not a factual dispute. The admission that prior shipments were part of the condition confirms the fact. The fact is admitted.

8. No authorization from FormuKleen to move, hold, or warehouse after port arrival.

Respondent identifies no citation showing consent. A bare “denied” coupled with a procedural objection does not meet the Initial Order. In the absence of any cited authorization, the negative fact stands. The fact is admitted.

9. Respondent engaged in warehousing, inland transport, customs brokerage, and financial transactions related to international cargo, including paying port storage on Complainant’s behalf.

Respondent denies “financial transactions” as vague, but elsewhere admits invoices, balances, and payment applications, and admits paying port storage. The semantic denial does not create a factual dispute and lacks a citation that rebuts the underlying conduct. The fact is admitted.

10. Withholding continued until unrelated debts were paid, including after the Complaint was filed.

Respondent cites an affidavit paragraph asserting a net balance, which by its own terms is an account-level figure covering “other shipments,” not just the subject cargo. That confirms the unrelated character of the debt and does not rebut RX-App0003. The denial is self-defeating and uncited to any contrary record. The fact is admitted.

11. Internal email confirms diversion to TSS warehouse on accounting instruction.

Respondent denies the term “diversion” but does not, and can not, dispute the quoted email it filed. The act occurred; the label does not matter. No contrary citation is offered. The fact is admitted.

12. Revocation of credit, refusal to advance duties, and diversion based on payment history for other shipments.

Respondent calls this “redundant,” which is not a denial and is not supported by a rebutting citation.

The underlying conduct is already admitted in Respondent’s other answers and RX-App0003. The fact is admitted.

13. Refusal to release unless unrelated balances were satisfied; retrieval process demanded unrelated debts.

Respondent asserts a legal theory under Florida’s UCC and simultaneously admits “some of the charges were for other shipments.” The legal argument does not controvert the fact, and the admission resolves it. The fact is admitted.

14. No formal lien enforcement ever occurred.

Respondent says it did not “enforce its lien through a public auction or sale” and identifies no statutory or contractual notice, no itemization, and no bond opportunity. That confirms the absence of formal enforcement steps and does not rebut the fact. The fact is admitted.

15. Non-release upon demand.

Respondent admits initial non-release “due to outstanding related and other invoices.” The presence of “other invoices” confirms the point. The fact is admitted.

16. CHSU4047424 held until February 25, 2025 for “unpaid balances owed to TSS,” including “other shipments.”

Respondent admits holding for a mix of charges “directly related to the subject cargo as well as other shipments.” That is an admission that unrelated debts were part of the condition for release. The fact is admitted.

17. BSIU8431017 diverted to TSS warehouse on accounting instruction.

Respondent again calls the point “redundant” but does not dispute the quoted email’s content. No contrary citation is provided. The fact is admitted.

18. Revocation of credit, refusal to advance duties, and reassignment based on payment history for other shipments.

Respondent refers back to prior answers and supplies no citation that rebuts the substance. Those prior answers already concede the conduct. The fact is admitted.

19. April 16 email states: “Goods have been placed into your inventory and will be released once your account has been brought up to date.”

Admitted by Respondent. This admission alone shows the practice at issue: conditioning release on account-level balances.

Under the Initial Order’s summary-decision protocol, the Respondent “must set forth verbatim each material fact to which it responds, then admit or deny the fact,” and any denial “must be followed by an exact citation to evidence” in the motion record; otherwise, “material facts... that are sufficiently supported will be deemed admitted for purposes of the motion.” It also requires that any “additional facts” be stated in separately numbered paragraphs with an exact appendix page cite, and that a word-processing copy be provided to the ALJ and the parties. Respondent’s submission does not do this. Where it denies, it offers no exact appendix page proving a shipment-specific unpaid charge for CHSU4047424 or BSIU8431017 at the time of detention; instead, it cites only global, account-level assertions and the April 16 email conditioning release on bringing the “account” up to date. “Objected to as unclear,” “redundant,” and similar rhetoric are not evidence and do not satisfy the Order. Nor does a blanket reference to the Villena Affidavit cure the defect; a generic affidavit paragraph with no pinpoint appendix citation is not “an exact citation” that rebuts Complainant’s cited exhibits. On this

record, the responses fail the Order's verbatim-and-exact-citation requirement, so Complainant's Statement of Material Facts is deemed admitted for purposes of this motion, and the discovery refrain elsewhere does not reopen what Respondent's own filing failed to controvert.

10. REBUTTAL TO RESPONDENT'S OWN "STATEMENT OF FACTS"

1. "Respondent acted solely as a customs broker, warehouseman, and drayage coordinator."

This is a legal conclusion dressed up as a fact. Labels do not control. What matters are the admitted functions: directing post-arrival movement, paying port charges, holding cargo, and conditioning release on payment. Those are the very activities the Shipping Act regulates when performed in connection with oceanborne cargo. Self-identifying as a "warehouseman" does not take Respondent outside the Act.

2. "Respondent was not an NVOCC and issued no bill of lading."

Again, a legal conclusion and a red herring. The Act does not make issuance of a house bill a prerequisite to jurisdiction. Respondent's own papers admit conduct the Act recognizes as NVOCC/OTI activity, including arranging inland transportation, coordinating destination handling, assisting with clearance, and paying port charges tied to the ocean move. The absence of a house bill does not negate the admitted conduct.

3. "Damages are limited to \$50 per shipment by invoice terms."

Not a fact. It is a contract defense. Private boilerplate cannot insulate a party from federal statutory liability for unjust or unreasonable practices. It does not controvert any material fact and does not bear on whether summary decision on liability is warranted.

4. **“Alternatively, warehouse terms cap liability at \$5,000.”**

Same problem. This is a merits defense about remedies, not a factual dispute. Contract caps, even if enforceable, do not defeat or delay adjudication of liability under the Shipping Act.

5. **“Container CHSU4047424 was delivered to a trucker’s yard.”**

Admitted. It also confirms Respondent directed the post-arrival movement and retained control until payment, which reinforces the regulated character of its role for this import cargo.

6. **“Container BSIU8431017 was delivered to Respondent’s warehouse and receipted.”**

Admitted. This further establishes Respondent’s custody and control over import cargo after ocean arrival, which is the context in which its withholding practices are evaluated under the Act.

7. **“If jurisdiction is found, damages remain limited to \$50 per shipment.”**

Not a fact. It simply repeats the private-contract argument that cannot erase federal obligations and has no bearing on whether the undisputed record proves liability.

8. **“The warehouse receipt provides a lien.”**

What is missing is any evidence that Respondent complied with its own lien procedures or any statute before detaining the cargo. Respondent admits there was no statutory sale, no formal enforcement, and the only “notice” was a demand to bring the account current. A private lien clause cannot legalize an otherwise unreasonable withholding practice under the Shipping Act, and in any event Respondent did not follow its own lien prerequisites.

9. **“A late customs filing was caused by Complainant’s nonpayment; the fine was only \$695.”**

Denied as incomplete and immaterial. Respondent’s filings show the core detention was to compel payment of account-level balances, not a shipment-specific duty shortfall. Whether a

small customs penalty issued does not change the dispositive fact that Respondent withheld release of import cargo until unrelated balances were paid. That is the practice at issue, and it is admitted on this record.

Respondent's "Statement of Facts" does not put any actual facts in to play. ¶¶1–2 are status labels and legal conclusions, not evidence; ¶¶3, 4, and 7 are contract-limit defenses that don't touch liability; ¶8 just pastes a lien clause without any proof they ever followed it; and ¶9's customs-fine aside is immaterial to the Shipping Act issues. The only actual facts are ¶¶5–6; and those are admissions that TSS directed post-arrival placement and warehousing, confirming custody and control at destination. Respondent's "Statement of Facts" should be disregarded except for the admissions that affirm liability.

11. RESPONDENT'S DAMAGES ARGUMENT IS YET ANOTHER

PROCEDURAL RED HERRING

The Respondent's claim that the Motion for Summary Judgment must fail due to a lack of a specific damages calculation is a procedural red herring that completely misapprehends the purpose of the motion. The function of this motion is to establish liability based on the admitted facts of the record; namely, that the Respondent engaged in an unjust and unreasonable practice in violation of the Shipping Act. The determination of the precise amount of damages and civil penalties is a separate matter, typically reserved for a subsequent proceeding. There is established Commission precedent to first grant summary judgment on the issue of liability and then conduct the damages calculation afterwards.

Furthermore, the Respondent's argument conveniently ignores the fact that the Complainant's Verified Complaint, which initiated this action, was very specific regarding the damages sought. That

pleading, which is part of the official record, provides a clear and detailed articulation of the relief requested. The Respondent's attempt to use this procedural gap as a substantive defense is a transparent effort to distract the Commission from the core legal question at hand and is a last-ditch effort to delay a ruling that is already supported by its own admissions.

12. THE INVOICE CHRONOLOGY PROVES ACCOUNT-LEVEL HOSTAGE DETENTION, NOT SHIPMENT-SPECIFIC ARREARS

Respondent's own paperwork lines up in a way that removes any doubt about what happened. For the first container, CHSU4047424, Respondent issued a container-specific invoice (No. 81824) that includes port, terminal, and inland delivery items, then refused to release the box until late February while telling FormuKleen that release would occur only when the account was brought up to date. The complaint's timeline places the hold through February 25, and Respondent's filing supplies the contemporaneous statement conditioning release on account status. If the hold had truly been to secure a shipment-specific balance on that container, Respondent could have accepted payment of the container invoice and delivered. It did not. It used possession of the cargo to compel payment on the broader account.

The second container, BSIU8431017, follows the same pattern. Respondent issued a container-tagged invoice (No. 85292) on March 31 and, instead of clearing delivery when telex release followed, pulled the box into its own custody in early April and refused release while focusing on account balance. The complaint records the last free day on April 1, telex release on April 9, and repeated requests for delivery in the days that followed. Respondent's April message states that the goods had been placed into inventory and would be released once the account was brought up to date. Again, if the issue had been an unpaid charge unique to that shipment and owed to Respondent, the

straightforward step was to take the container invoice and schedule delivery. Respondent did neither. It withheld cargo to leverage payment on the account.

That sequencing matters. Respondent billed container-specific port and inland items while at the same time withholding release until unrelated account balances were satisfied. On this record, that is not lien enforcement and it is not a bona fide dispute about a charge tied to the detained shipment. It is the use of custody and control over import cargo to extract payment on other debts. The Shipping Act looks to what the regulated party did with the shipment in its hands, and Respondent's own admissions and invoices show destination receiving, handling, storage, and delivery coordination coupled with a refusal to release unless the account was cured. That is the unreasonable practice at issue. There is nothing for a factfinder to resolve about this chronology, and it warrants summary decision on liability.

Conclusion

Respondent's own admissions, including the April 16 email conditioning release of cargo on bringing the account up to date, and its Warehouse Receipt cross-account lien language, leave no genuine dispute of material fact. Release after wrongful withholding does not moot liability or the Commission's authority to award reparations. The Commission should grant summary judgment on all counts. Alternatively, at minimum, enter partial summary judgment on liability under 46 U.S.C. §§ 41102(c), 41104(a)(4)(E), and 41104(a)(10), reserving the amount of reparations for later proof.

Respectfully submitted,

Sara Dandan

Licensed to practice before the Commission and in good standing

FourOneOne LLC

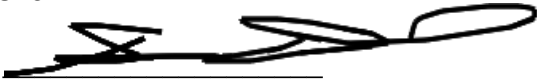
2501 Chatham Rd, Suite 8082

Springfield, IL 62704

Email: sara@fouroneone.io Phone:

630-286-9846

Signature: _____

A handwritten signature in black ink, appearing to be 'Sara', written over a horizontal line.

Date: __08/15/2025_____

CERTIFICATE OF SERVICE

I certify that on August 15th, 2025, a true and current copy of the foregoing was filed via electronic mail with the Federal Maritime Commission and the following known parties of record for the Respondents:

Daniel W. Raab, Esq.

Attorney for Respondent

9555 North Kendall Drive Suite 210

Miami, Florida 33176

Telephone: 305-598-5517

Email: raabdaniel57@gmail.com



TOP SHIPPING SYSTEMS, CORP
12480 NW 25TH ST - Suite 100, MIAMI, FL 33182
UNITED STATES, Tel: 305-6393401

Exhibit A
Docket 25-08

Invoice



81824

Created by
EDDY DEL MONTE

Jan/30/2025

Bill to
FORMUKLEEN, INC
8036 NW 66TH STREET
MIAMI, FL 333166.
UNITED STATES

Due Date
Mar/31/2025

Payment Terms
Net 60

Please note.....As of 3/1/2020 there will be a late fee assessed of 5% on each invoice if payment is not received by its due date as per the terms granted by TSS. The account will accrue 1.5% monthly interest charges (18% per annum) on any transaction unpaid past the stated due date on the invoice. The interest will also be assessed monthly on any prior fees or interest pending on the account until payment in full is received.

References

Shipper: IHOTEL GUEST AMENITIES CO.,LTD
Consignee: FORMUKLEEN, INC
Origin/Destination: SHA / MIA
Entry Date: Jan/31/2025
Carrier: CMA CGM (AMERICA) LLC
AWB / BL No.: CMDUCHN1747451
House Way Bill: TSJSHHY24110048
Pieces / Weight: 1 / 0.00 lb
Booking Number: SHHY24110048
Container #: CHSU4047424
Master Shipment Name: IMP36840-RICKY-FORMUKLEEN

Description of Charges	Quantity	Price	Amount
Terminal Import Fee	1.00	101.20	101.20
Estimated Duty	1.00	5,465.08	5,465.08
MPF/HMF Fees	1.00	168.64	168.64
Customs Entry Fee	1.00 Min	95.00	95.00
Messenger	1.00	25.00	25.00
Importer Security Filing Fee	1.00	45.00	45.00
Other Government Agency Clearance	1.00	35.00	35.00
Additional Line Items	3.00	4.50	13.50
DELIVERY	1.00	575.00	575.00
Chassis Fee	20.00	20.00	400.00
Pre-Pull container	1.00	175.00	175.00
Terminal Import Fee PORT SECURITY FEE	1.00	90.00	90.00

Notes

USD Amount 7,188.42
Tax 0.00
Total 7,188.42

Signature



TOP SHIPPING SYSTEMS, CORP
12480 NW 25TH ST - Suite 100, MIAMI, FL 33182
UNITED STATES, Tel: 305-6393401

Exhibit B
Docket 25-08

Invoice



85292

Created by
EDDY DEL MONTE

Mar/31/2025

Bill to
FORMUKLEEN, INC
8036 NW 66TH STREET
MIAMI, FL 333166.
UNITED STATES

Due Date
Apr/30/2025

Payment Terms
Net 30

Please note.....As of 3/1/2020 there will be a late fee assessed of 5% on each invoice if payment is not received by its due date as per the terms granted by TSS. The account will accrue 1.5% monthly interest charges (18% per annum) on any transaction unpaid past the stated due date on the invoice. The interest will also be assessed monthly on any prior fees or interest pending on the account until payment in full is received.

References
Shipper: IHOTEL GUEST AMENITIES CO.,LTD
Consignee: FORMUKLEEN, INC
Origin/Destination: SHA / MIA
Entry Date: Mar/25/2025
Carrier: CMA CGM (AMERICA) LLC
AWB / BL No.: CMDUCHN1987924
House Way Bill: NQICSHQC25010345
Pieces / Weight: 1 / 0.00 Kg
Booking Number: SHQC25010345
Desc. of Goods: NAPKIN
Container #: BSIU8431017
Master Shipment Name: IMP37682-RICKY

Description of Charges	Quantity	Price	Amount
Estimated Duty	1.00	13,949.83	13,949.83
MPF/HMF Fees	1.00	180.56	180.56
Customs Entry Fee	1.00	95.00	95.00
Messenger	1.00	25.00	25.00
Importer Security Filing Fee	1.00	45.00	45.00
Other Government Agency Clearance	1.00	35.00	35.00
Additional Line Items	4.00	3.50	14.00
DELIVERY	1.00	575.00	575.00
Chassis Fee	1.00	150.00	150.00
Terminal Import Fee PORT SECURITY FEE	1.00 Min	90.00	90.00
Wharfage Charges HANDLING	1.00	227.68	227.68

Notes

USD Amount 15,387.07
Tax 0.00
Total 15,387.07

Signature

TOP SHIPPING SYSTEMS, CORP

12480 NW 25TH ST - Suite 100, MIAMI, FL 33182 UNITED STATES, Tel: 305-6393401

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